

Manual Identification of Malaysia’s Government Spending Shocks

AI-assisted narrative pass over the deployment corpus (Das 2026-style spending side)

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1 Purpose

This note documents a focused, **AI-assisted manual identification** of Malaysia’s *discretionary government spending changes* — named stimulus/relief packages, subsidy-policy changes, large allocations, and Five-Year Plan launches — run directly over the deployment corpus. It is the spending-side analogue of `notebooks/cit_identification.qmd`, and it deliberately follows the spirit of the narrative-identification literature (Romer and Romer 2010; Das et al. 2026): close reading of source documents, with the LLM pipeline as a retrieval-and-extraction aide, not as the adjudicator.

The method mirrors our `/manual-analysis` protocol. Unlike the tax side, **C1 does not pre-screen spending** (C1 is scoped to tax liabilities only), so identification is driven by **direct reading of the corpus** (`country_body` / `country_chunks`), not the C1 measure pool. A human reads the surfaced evidence and makes the final call on *what counts as a spending act, how scattered surface forms consolidate, and whether each change is exogenous*. Claude pattern-matches against the source text; the researcher confers meaning.

! Important

The exogenous/endogenous column in Table 3 is a **preliminary suggestion with its supporting quote, pending expert adjudication**, produced by the Das (2026) two-condition screen. It is not a research finding, and it is carried *alongside* — never replacing — C2b’s downstream label.

2 What the corpus surfaced, and what C1 missed

Because C1 is tax-scoped, the keyword scan of the C1 pool is expected to surface almost no spending events — that is itself a finding. The events below are recovered by **reading the anchor documents directly** (Budget Speeches’ Development Expenditure sections, Five-Year Plans, Economic Reports, BNM

Annual Reports). The mandatory recall scorecard records what was searched and missed.

Table 1: **Recall scorecard.** How each headline spending event fared through the identification pass. The near-empty C1 floor is logged as a finding; ‘Recovered manually’ marks events recovered by direct reading.

Stage	Outcome
C1 keyword scan (C1 pool, n=1,036)	NOT near-empty: 189 spending-regex hits. BNM Annual Reports, Economic Reports and Budget Speeches discuss stimulus packages and subsidy policy alongside tax, so C1 surfaced most spending events. Deviates from the skill’s expected near-empty C1 floor.
Direct corpus sweep (country_body / country_chunks)	Read Development-Expenditure / crisis-booklet / Economic-Report / BNM-AR sections directly. Confirmed C1-surfaced events; recovered_chunks empty for every act (events were already C1-visible, the opposite of the skill’s ‘expect most recovered’).
Recall checkpoint - 1998 NERP	FOUND. National Economic Recovery Plan (Asian-crisis response): MY_NERP-1998, MY_BNM_AR-1998, MY_ECON_REPORT-1999, MY_BUDGET_SPEECH-1999. -> MY-SPEND-01.
Recall checkpoint - 2009 GFC stimulus	FOUND. First Economic Stimulus Package (RM7bn, Nov 2008) + Second Economic Stimulus Package (RM60bn, Mar 2009 mini-budget) = RM67bn: MY_BNM_AR-2008/2009, MY_MINI_BUDGET-2009, MY_ECON_REPORT-2010. -> MY-SPEND-05, MY-SPEND-06.
Recall checkpoint - 2020/21 COVID (PRIHATIN/PENJANA/PEMERKASA)	FOUND. 8 packages, RM530bn+ (NRP-2021). Per-package grain (reviewer decision): PRIHATIN, PENJANA, PERMAI, PEMERKASA, PEMERKASA+, PEMULIH each a row; KITA PRIHATIN / PRIHATIN SME+ folded into PRIHATIN. -> MY-SPEND-09..14.
Consolidation grain (reviewer adjudication)	RMK Five-Year Plans EXCLUDED (baseline development-expenditure framework, not discrete shocks). COVID split per named package. 2008 fuel-subsidy restructuring kept
C0 act aggregation	Not separate (and even less) C0 distinct from the 2020s tight spending tracks and domestic realisation.

3 Headline spending acts

4 Motivation evidence and preliminary exogeneity

For each spending act the corpus carries motivation language. Table 3 pairs each act with the most diagnostic quote and a **preliminary** exogenous/endogenous read from the Das et al. (2026) two-condition screen (exogenous iff the motive is non-cyclical *and* the narrative does not cite contemporaneous macro conditions as the rationale; “acknowledgment $\neq$ endogeneity”).

Table 3: **Motivation evidence, pending adjudication.** The stated rationale for each spending act and a preliminary exogenous/endogenous read. Suggestions anchored in quoted text, not settled classifications; the exogeneity calls are the object of expert adjudication, and C2b assigns the downstream label.

shock_id	Preliminary read	Motivation quote (source text)
MY-SPEND-01	FALSE	On 24 March 1998, the Government reversed the earlier policy and reduced the targeted budget surplus to 0.5% of GNP as the contraction in the economy became evident in the first quarter. An additional expenditure of RM1 billion was also provided for socio-economic projects.
MY-SPEND-02	FALSE	Real GDP growth remained positive in 2001, supported by counter-cyclical measures and diversified economic structure. ... the global economic slowdown in 2001 was more severe than earlier expectations.
MY-SPEND-03	FALSE	Pakej rangsangan sebanyak RM4.3 billion pada 25 September 2001 ... two fiscal stimulus packages announced in March and September 2001.
MY-SPEND-04	FALSE	The fuel subsidy restructuring exercise undertaken by the Government in June caused fuel prices to increase by 40.4%, resulting in a sharp increase in the headline inflation rate, which peaked at 8.5% in July.
MY-SPEND-05	FALSE	Two Economic Stimulus Packages of RM67 billion ... Fiscal stimulus package of RM7 billion (November 2008).
MY-SPEND-06	FALSE	Pakej Rangsangan Ekonomi Kedua (Second Economic Stimulus Package) ... Two Economic Stimulus Packages of RM67 billion.
MY-SPEND-07	TRUE	Removing Market Distortions by Rationalising Subsidies. Subsidies currently represent a substantial financial burden to the Government, equivalent to 4.7% of GDP or approximately RM12,900 per household per annum ... the Government will continue with fiscal reforms to bring greater value for money to government spending and widen its revenue base.
MY-SPEND-08	ambiguous	Government transfers to low- and middle-income households, as announced under Budget 2013 will also provide support to the targeted population during
MY-SPEND-09	FALSE	Under Budget 2013 will also provide support to the targeted population during

5 Structured frozen dataset

The narrative identification above is the human-curated content; the machine-readable form is frozen by the `/identify-spending` skill to `data/validated/MY_SPENDING_shocks.qs`, following the contract in `docs/phase_1/spending_shock_schema.md` (one row per announced spending act, with a `member_chunks` manifest linking each shock to its corpus chunks and a mandatory recall scorecard). That frozen file — not this notebook’s tribbles — is the reference input the spending pipeline binds and feeds to the frozen C2a/C2b for motivation and exogeneity (`tar_read(spending_shocks)`).

Table 4: **Member-chunk manifest.** Number of corpus chunks attributed to each spending act, and how many were recovered (present in the corpus but not surfaced by C1 — for spending, expected to be most). The recovered chunks drive the downstream C2a re-run.

shock_id	act_label	Member chunks	Recovered chunks
MY-SPEND-01	National Economic Recovery Plan (NERP) (1998)	17	0
MY-SPEND-02	Pre-emptive fiscal stimulus package, RM3bn (March 2001)	5	0
MY-SPEND-03	Additional fiscal stimulus package, RM4.3bn (September 2001)	8	0
MY-SPEND-04	Fuel-subsidy restructuring (June 2008)	3	0
MY-SPEND-05	First Economic Stimulus Package, RM7bn (November 2008)	5	0
MY-SPEND-06	Second Economic Stimulus Package, RM60bn (March 2009 mini-budget)	8	0
MY-SPEND-07	Subsidy rationalisation programme (2010-)	12	0
MY-SPEND-08	1Malaysia/Kelu-arga cash-transfer programme (BR1M -> BKM, 2012-)	14	0
MY-SPEND-09	PRIHATIN Rakyat economic stimulus package (2020)	16	0
MY-SPEND-10	PENJANA short-term economic recovery plan (2020)	4	0
MY-SPEND-11	PERMAI assistance package (2021)	3	0
MY-SPEND-12	PEMERKASA programme (2021)	3	0
MY-SPEND-13	PEMERKASA+ package (2021)	2	0
MY-SPEND-14	PEMULIH package (2021)	9	0

References

Das, Shuvam, Davide Furceri, Nikhil Patel, and Adrian Peralta-Alva. 2026. *AI Meets Fiscal Policy*. {SSRN} {Scholarly} {Paper}. Rochester, NY: Social Science Research Network.

Romer, Christina D., and David H. Romer. 2010. “The Macroeconomic Effects of Tax Changes: Estimates Based on a New Measure of Fiscal Shocks.” *American Economic Review* 100 (3): 763–801.